



Monthly Market Mantra

January, 2026

Market Overview

India

CPI inflation in Nov -25 remained benign at 0.71%, staying below RBI's 2% band for the third straight month on food deflation

Trade deficit narrowed to \$24.5 bn in Nov-25, the lowest in 5 months, driven by strong exports and lower gold imports post festive demands

INR weakened to ~₹90/USD, prompting ~₹3 tn RBI liquidity support

Other International Market

UK growth weakened, prompting the BoE to cut rates by 25 bps to 3.75%, as inflation cooled to 3.2% (8-month low)

Japan tightened policy, with the BoJ raising rates by 25 bps to 0.75%, the highest since 1995, with further tightening discussions intensifying

China's growth outlook weakened, with 2025 GDP estimated below 3% amid weak domestic demand and housing stress

U.S.

US growth momentum cooled, with PMI sub-50, flat factory output and falling consumer confidence (89.1) despite strong Q3 GDP (4.3%)

The Fed cut rates by 25 bps to 3.5–3.75% in Dec-25, marking the 3rd cut since September, taking rates to the lowest since 2022

US headline CPI eased to 2.7% in Nov-25, while core inflation fell to 2.6%, the lowest since Mar-21

International

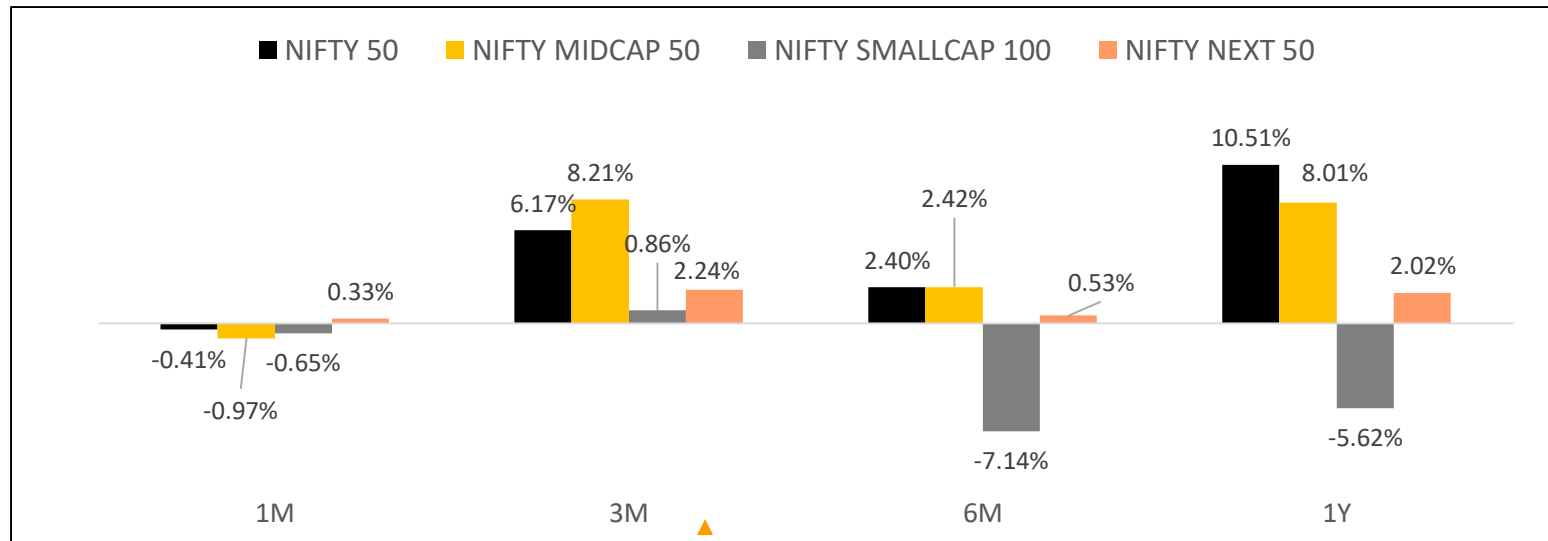
Gold rose to ~USD 4,360/oz (+~65% YoY), supported by expectations of US rate cuts, strong central-bank buying, ETF inflows, and geopolitical uncertainty

Brent crude eased to ~USD 63/bbl, with Venezuela-related risks seen as limited given sub-1 mbpd output and OPEC+ holding supply steady

Global sentiment stayed cautious, with the IEA projecting a ~3.8 mbpd oil surplus despite enforcement on Venezuela & ongoing Russia–Ukraine tensions

*Source: Moneycontrol, Bloomberg, CNBC, Trading economics
As on 4th January 2026*

Markets were largely flat in 1M period

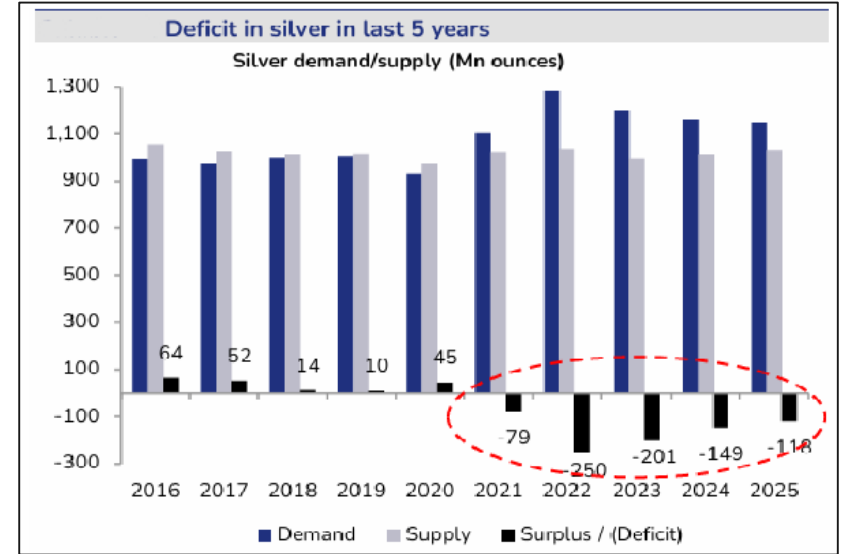
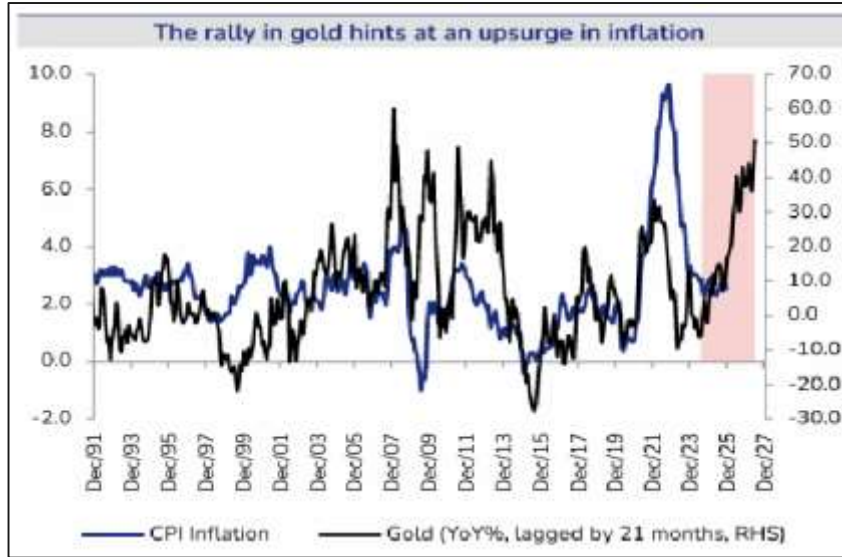


- ❑ Nifty 50 and Nifty Midcap 50 recorded mild 1-month declines amid consolidation, while small caps also softened
- ❑ The Nifty Next 50 outperformed with modest gains on selective buying

Disclaimer: Past performance may or may not sustain in the future

Data Source: NiftyIndices.com
Data as on 31st December 2025

Global uncertainty lifts gold & silver



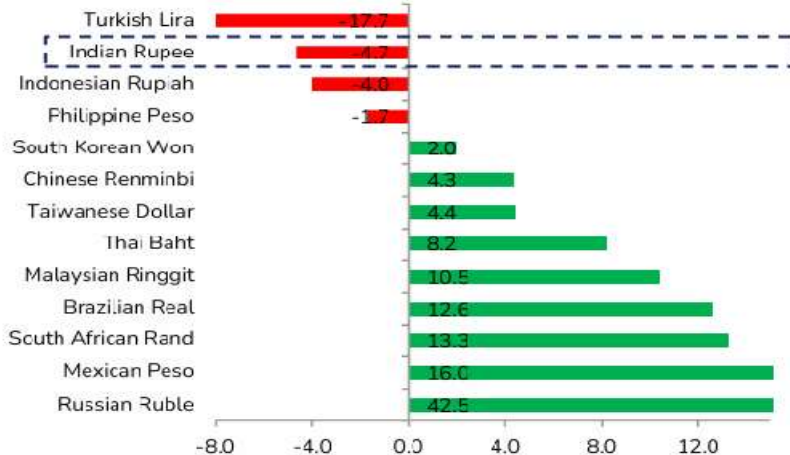
- ❑ Gold prices tend to lead CPI inflation with a lag, indicating rising inflationary pressures
- ❑ Persistent supply deficits over recent years highlight tightening fundamentals in silver

Source: Silver institute, JM Financial & Bloomberg

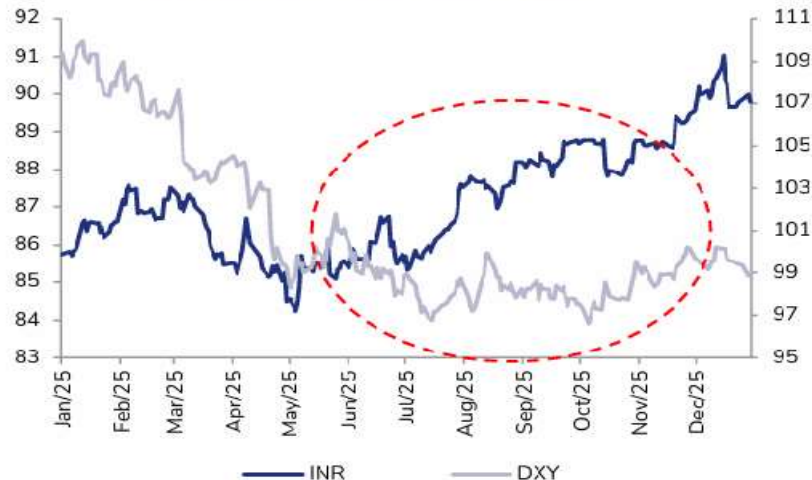
INR underperforms Asian peers

Steepest depreciation in INR vs. Asian peers

Currency performance vs USD (2025)



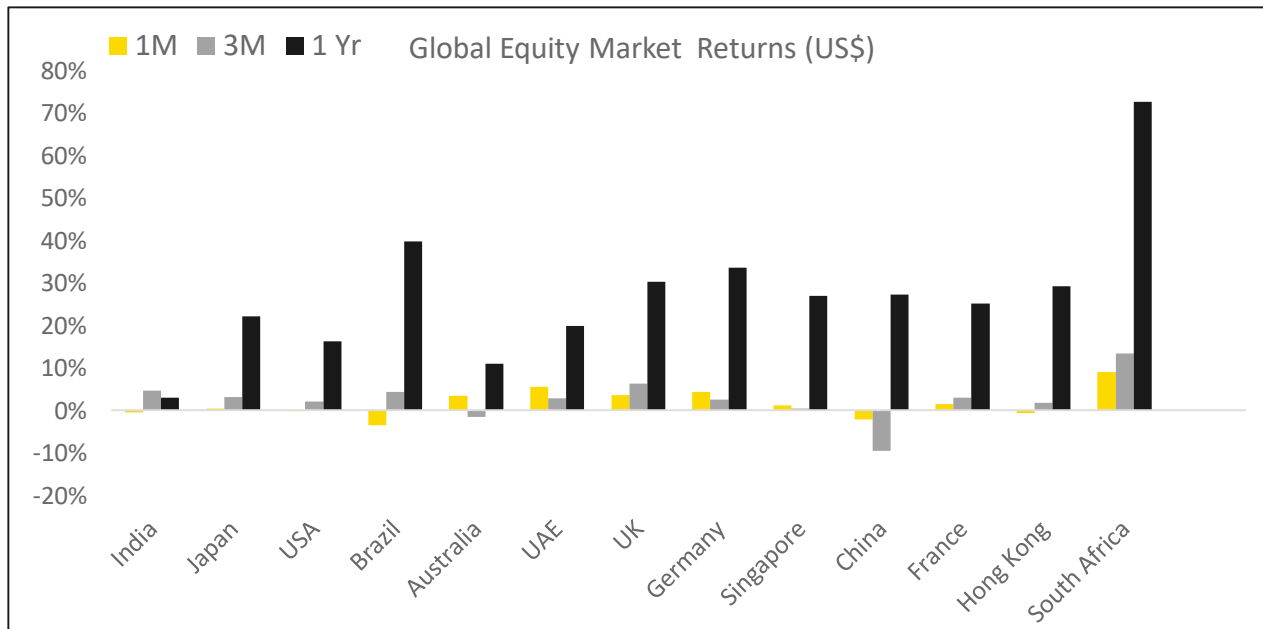
INR depreciated despite weak US dollar



- INR underperformed Asian peers & weakened despite a softer US dollar, highlighting domestic & flow-related pressures

Source: JM Financials research

Global Markets (MSCI) – Geopolitical Impact



- India's mild 1M dip (-0.49%) alongside a strong 3M recovery (4.63%) suggests healthy consolidation rather than weakening fundamentals
- China's weak 1M (-2.14%) and steep 3M (-9.52%) performance highlights ongoing structural and confidence challenges
- Germany and the UK's strong 1M gains (4.38% and 3.69%) reflect improving risk sentiment in developed markets

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Data Source: MSCI.com
As on 31st December 2025

Sector Indices performance in 1M – Dec'25

Period	Nifty Auto	Nifty Bank	Nifty Consumer Durables	Nifty CPSE	Nifty FMCG	Nifty Pharma	Nifty IT	Nifty Metal	Nifty Oil & Gas	Nifty Realty	Nifty Energy	Nifty Commodities
1M	1%	-1%	-3%	0.1%	-0.2%	-1%	1%	8%	2%	-3%	-1%	3%
3M	6%	8%	-1%	-1%	1%	6%	13%	11%	8%	1%	1%	6%
6M	18%	3%	-4%	-4%	1%	3%	-3%	17%	4%	-11%	-3%	6%
1Y	23%	16%	-12%	5%	-2%	-3%	-13%	29%	14%	-17%	0%	17%

- ❑ Top Performer : Nifty Metal, Commodities and Oil & Gas in the 1M period
- ❑ Top Laggards: Nifty Realty, Consumer Durables, Bank & Energy

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Data Source: NiftyIndices.com
 Data as on 31st December, 2025

Sectors update

Sectors	Key Developments	Valuation	Our View
Consumer Durables	Q3FY26 demand remained soft across consumer durables, with only a modest sequential pickup and overall muted consumption. With input-cost pressures persisting, price hikes across categories appear inevitable, which should support value growth and margin recovery over the coming quarters.	Trailing P/BV >5-yr avg SD	Underweight
Oil & Gas	Brent crude averaged US\$60–63/bbl in December, pressuring upstream players. Refiners and integrated companies stayed resilient on healthy GRMs and LPG price hikes, with earnings visibility stronger than upstream amid supply and demand risks	Trailing P/BV < 5-yr average SD	Stock Specific
Auto	YTD December 2025, the auto sector sustained strong momentum, with record PV wholesales of ~45.5 lakh units (+6% YoY) and 2W volumes of ~20.3 mn units (+7% YoY). Broad-based demand, improving rural sentiment, policy tailwinds, new launches, and supportive pricing actions keep us constructive on the sector	Trailing P/BV trading near ~1× SD	Stock specific bottom up
FMCG	The FMCG sector is likely to post modest growth in Q3FY26, with gradual volume recovery led by resilient rural demand and weak urban consumption. Higher cigarette excise duty remains a headwind thereby impacting volume growth in FY27	Trailing P/BV near 5-yr average SD	Stock specific

Disclaimer: Sectors specific views mentioned herein are for Information purpose only, the Fund may or may not hold any present or future positions in these sectors

Sectors update

Sectors	Key Developments	Valuation	Our View
Banks	The financial services sector continues to benefit from broad-based credit growth driven by a consumption-led recovery post GST cuts. With the full 100 bps CRR cut now effective and supportive regulations in place, credit growth should gain further momentum. While the RBI's 25-bps rate cut may pressure NIMs near term, healthy asset quality, strong capital positions, and continued regulatory support keep us constructive on the sector	Trailing P/BV < +2× SD	Overweight
Metals	The safeguard duties extended till Apr'28 (12%/11.5%/11% over FY26–28) provide policy support and have aided a recovery in domestic steel prices, though further sharp hikes are constrained by export headwinds and near-term supply additions. Despite a ~19% rise in coking coal prices, SGD-led pricing should support margin expansion from Q4FY26E, with a constructive medium-term outlook driven by structural demand, high utilization, consolidation and policy support, albeit with limited pass-through	Trailing P/BV ~ 5-yr +1× SD	Neutral
CPSE	India's defence sector remains on a strong footing, supported by elevated DAC approvals of ₹3.8 tn in CY25 and healthy capex utilisation (~80% YTD FY26). With award-to-approval conversion still below historical averages, a sharp pickup in order awarding is likely in Q4FY26, supported by a robust pipeline across missiles and naval platforms	Trailing P/BV ~ 5-yr +1× SD	Stock specific

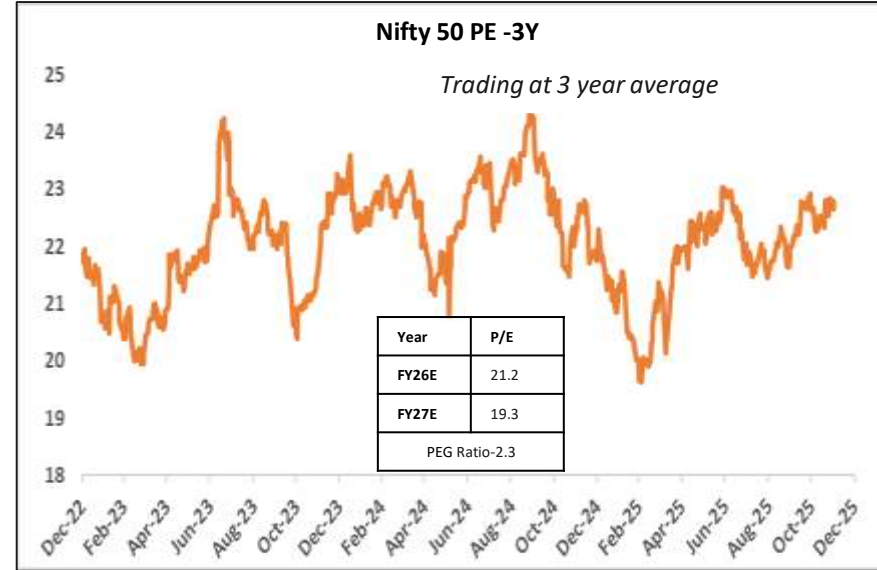
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Sectors update

Sectors	Key Developments	ValuationFY25	Our View
IT	The IT services sector remained under pressure in December, with delayed discretionary spending and growth largely driven by cost-optimization deals. While margins stayed stable on cost controls and muted hiring, pricing pressure persisted. The outlook remains cautiously positive, with a gradual recovery expected as AI, cloud, and digital spending improve	Trailing P/BV > 5-yr SD	Underweight
Pharma	The healthcare sector is likely to see stable to modest earnings growth in Q3FY26, led by steady pharmaceuticals and improving hospital occupancies. Domestic formulations should benefit from stable pricing and seasonal demand, while CDMO recovery remains gradual. Diagnostics are expected to stay stable	Trailing P/BV > 5-yr SD	Stock specific
Chemicals	The Indian chemicals sector is in a consolidation phase, with stable margins and crude prices supporting fundamentals amid global oversupply concerns. Policy support, PLI-led export momentum, and company-specific initiatives provide resilience, while focus shifts to uneven Q3 FY26 earnings and a gradual recovery outlook toward end-FY26	Trailing P/BV Fairly Valued	Stock specific

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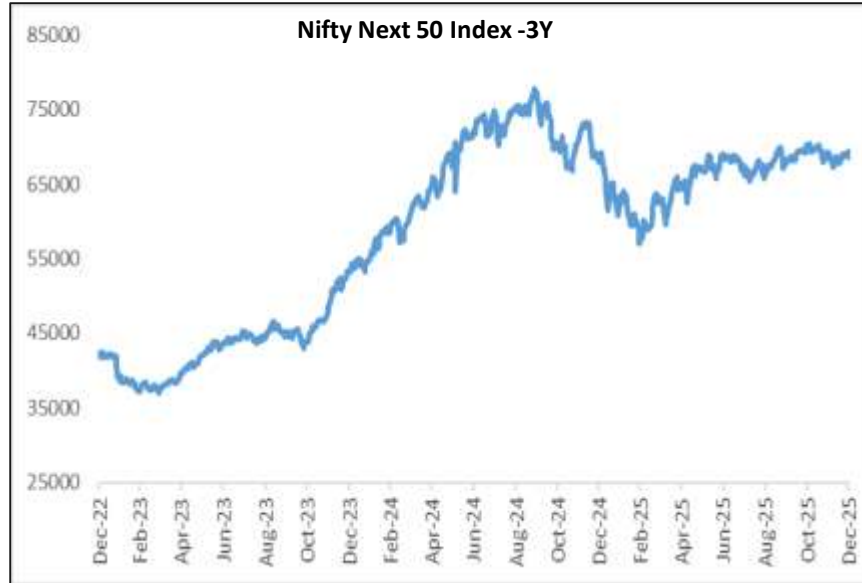
Index status – Nifty 50



Disclaimer: Past performance may or may not sustain in the future

Source: Niftyindices.com; Bloomberg estimates
Data as on 31st December, 2025

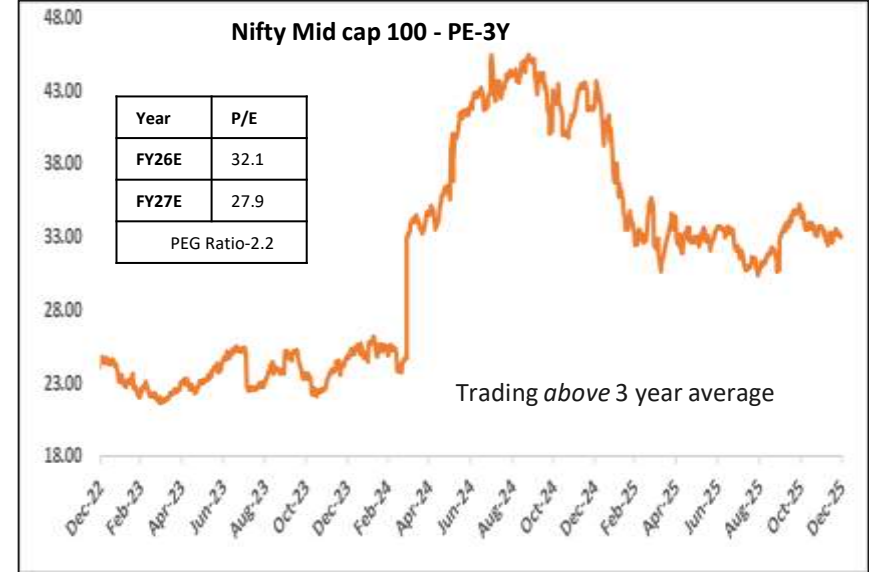
Index status – Nifty next 50



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Source: Niftyindices.com; Bloomberg estimates
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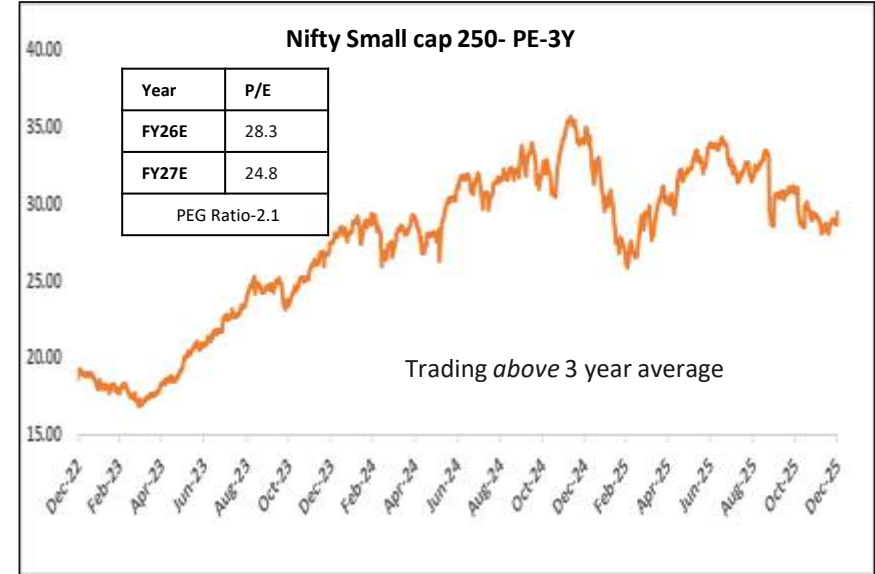
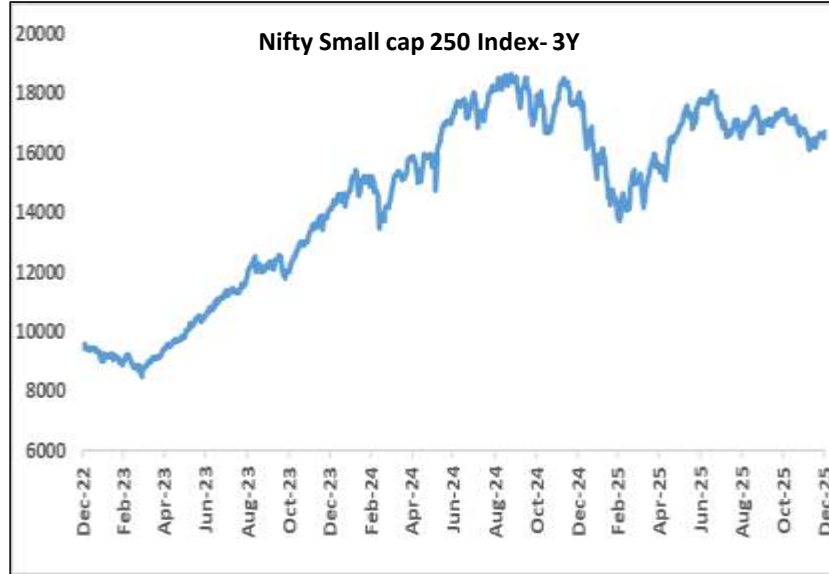
Index status: Nifty mid cap 100



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Source: Niftyindices.com; Bloomberg estimates
Data as on 31st December, 2025

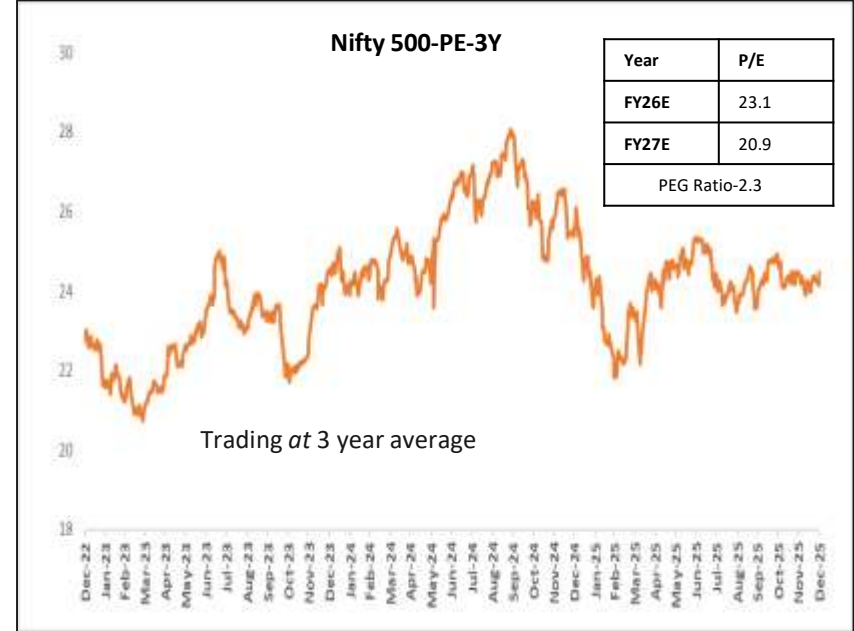
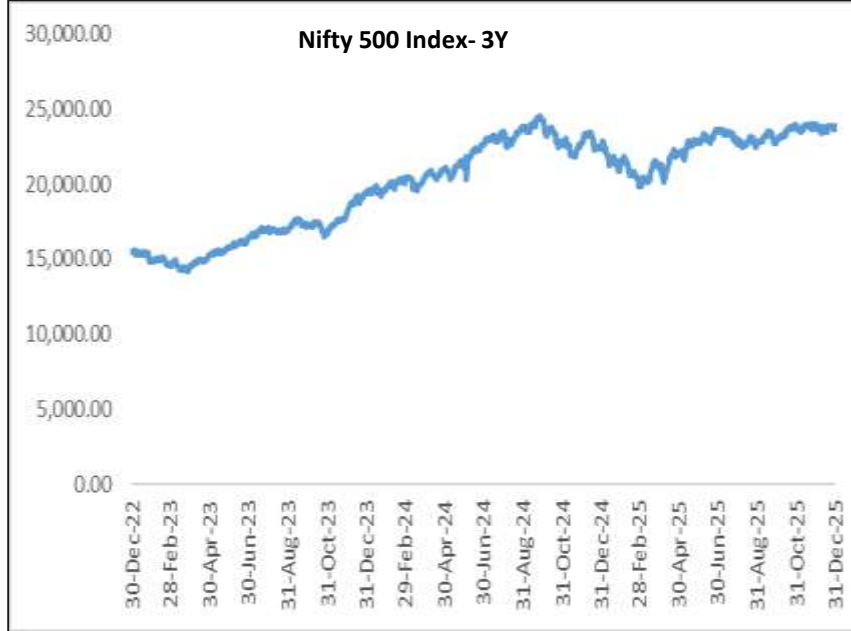
Index status: Nifty small cap 250



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Source: Niftyindices.com; Bloomberg estimates
Data as on 31st December, 2025

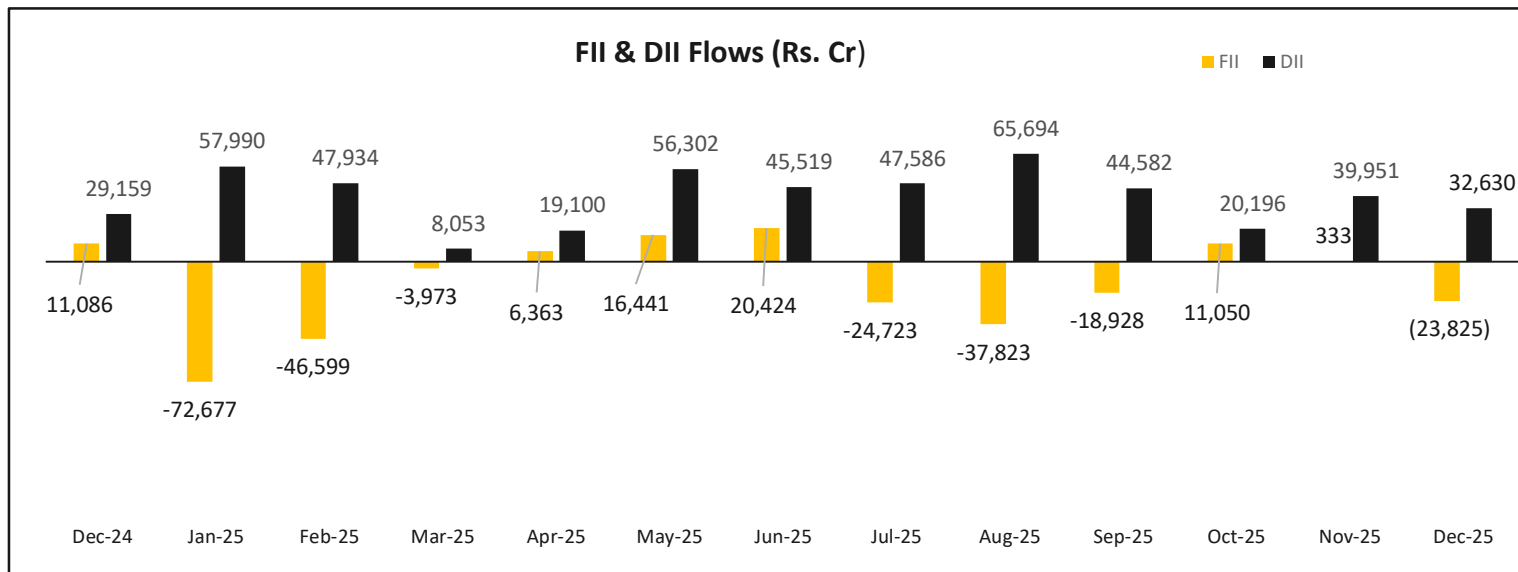
Index status: Nifty 500



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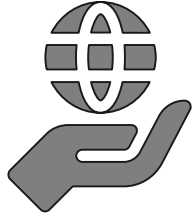
Source: Niftyindices.com; Bloomberg estimates
Data as on 31st December, 2025

DII continue to buy as FIIs turn sellers



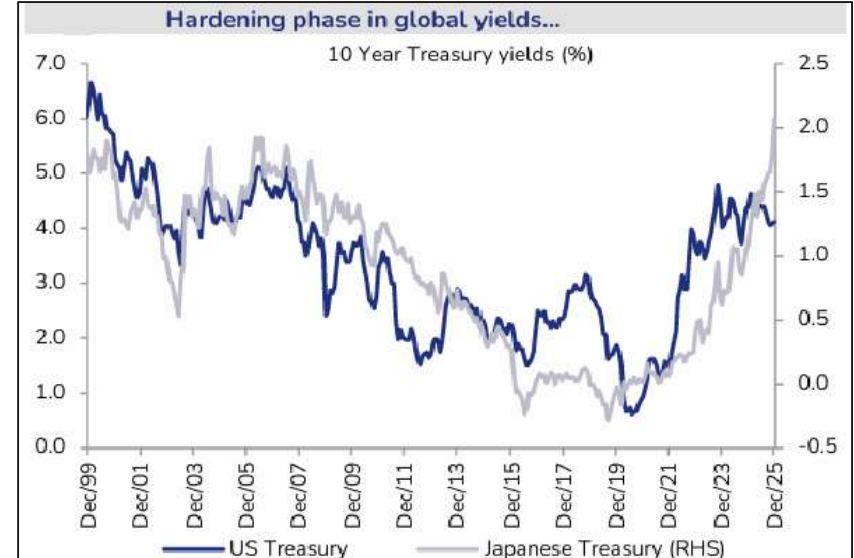
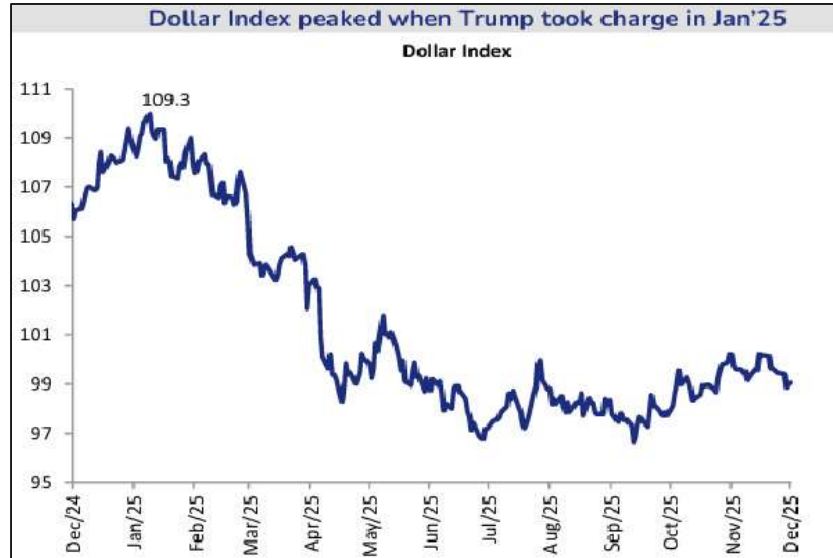
□ FIIs were net sellers in December, while strong DII inflows continued to anchor market stability

Source: Moneycontrol.com
DII data available as on 30th Dec-25, FII data as on 31st Dec-25



Global Update

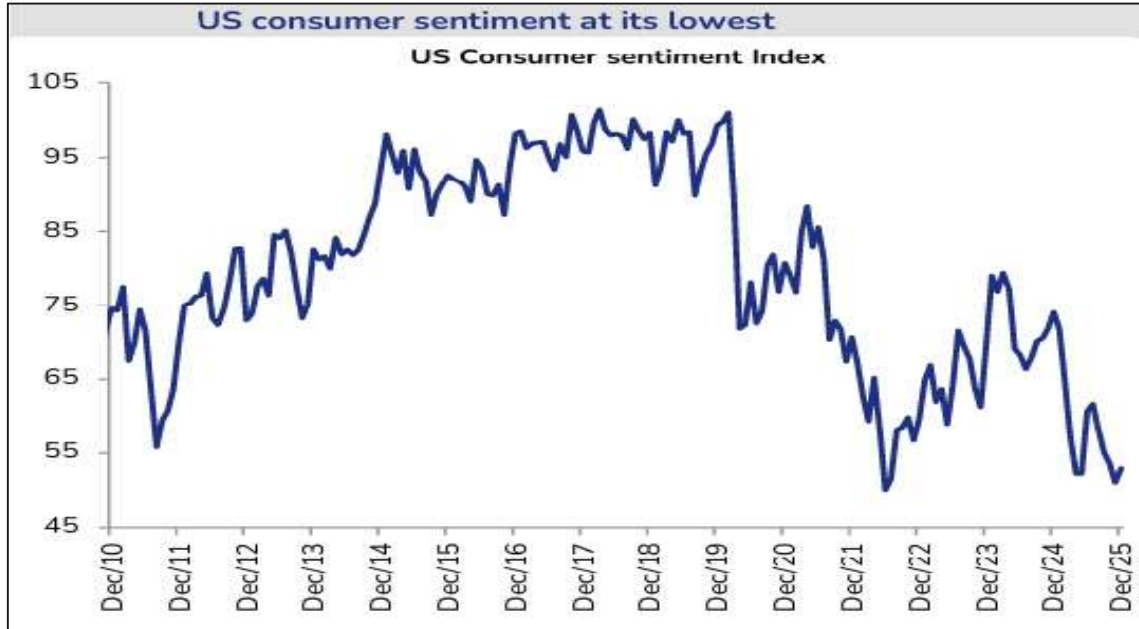
Dollar eases as yields spike



- ❑ Dollar eased on weaker US growth and slower rate hikes
- ❑ Higher US & Japan yields reflect policy normalization

Source: JM Financials research

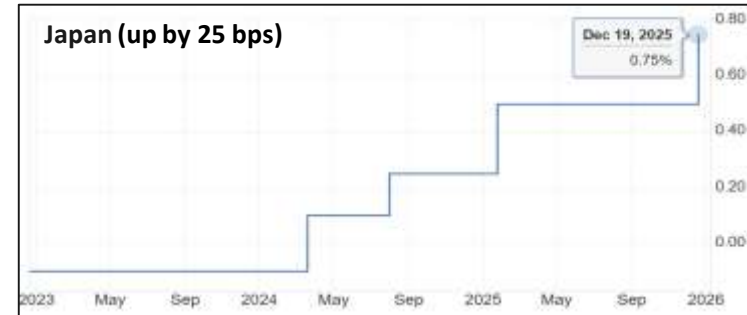
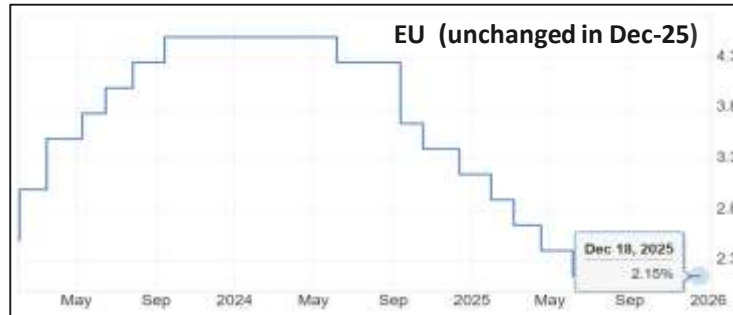
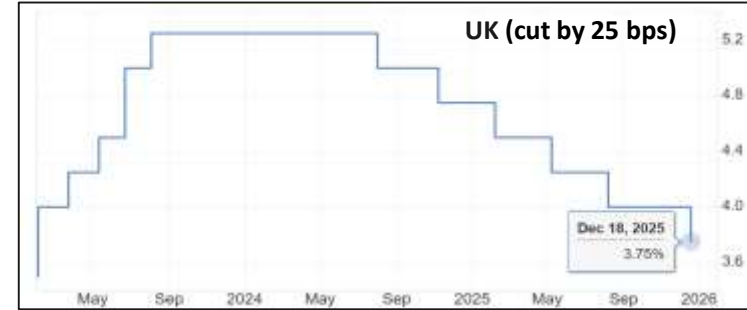
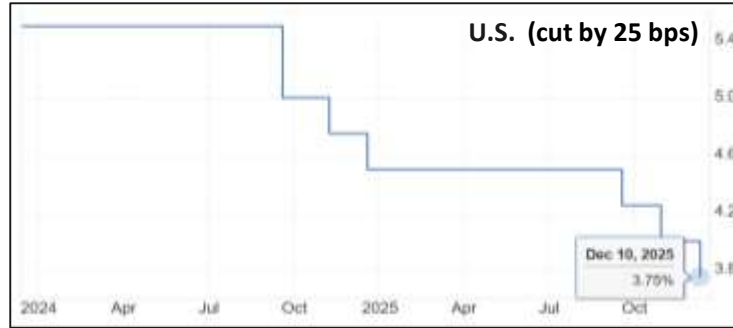
US consumer confidence continues to weaken



- ❑ US consumer confidence has weakened to multi-year lows, reflecting growing economic caution

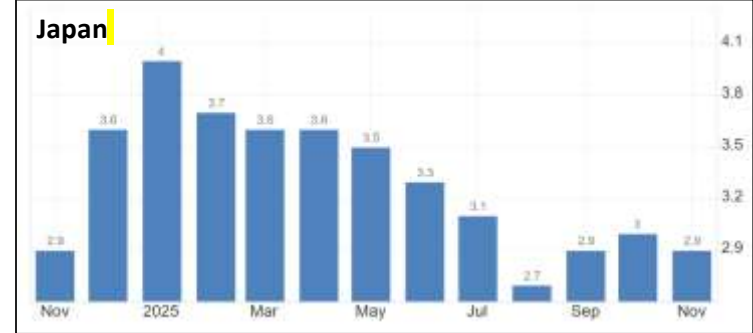
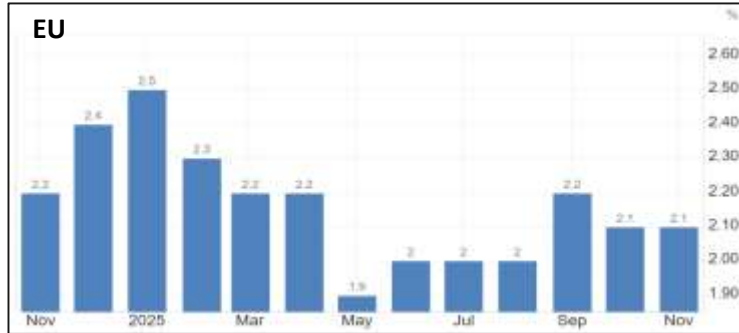
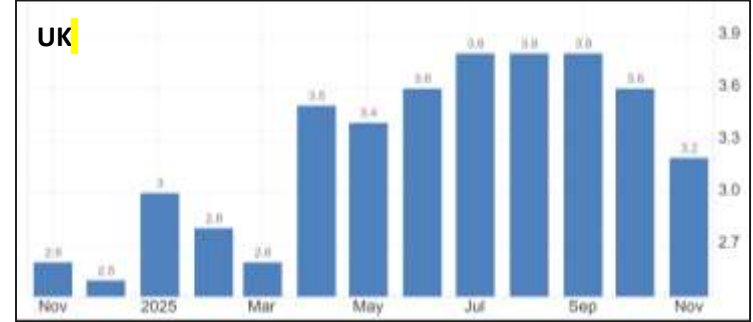
Source: University of Michigan, JM Financial

Global interest rate scenario



Source: Trading Economics

Global inflation trends show gradual cooling

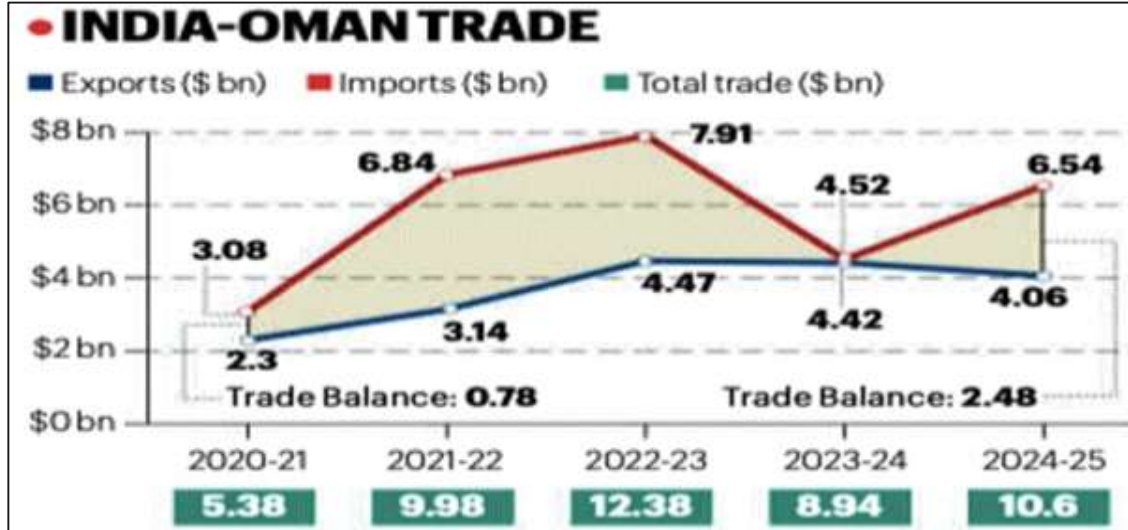


Source: Trading Economics



Domestic Update

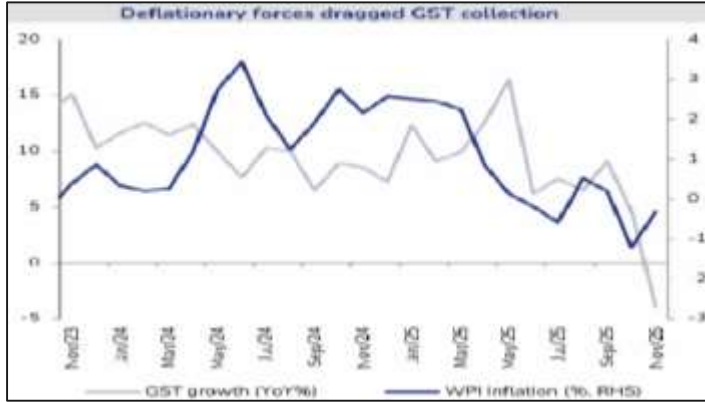
India-Oman sign free trade agreement



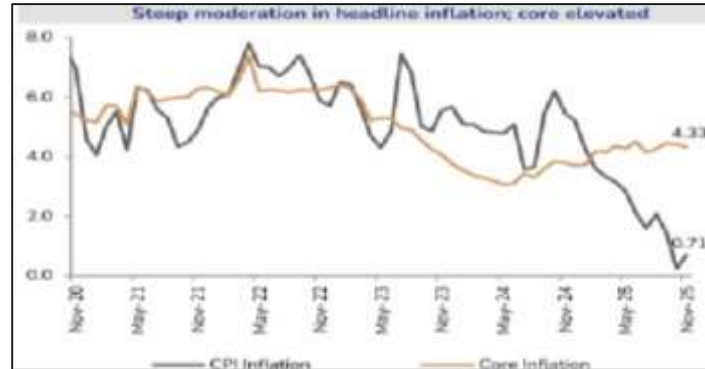
□ India-Oman CEPA: Duty-free access, 100% FDI in services, mobility push; trade target >USD 10 bn

Source: Commerce & Industry Ministry
Data as on 5th January, 2026

Macro update



Near-term deflationary pressures have weighed on GST growth, but inflation is expected to gradually normalise and pick up into 2026

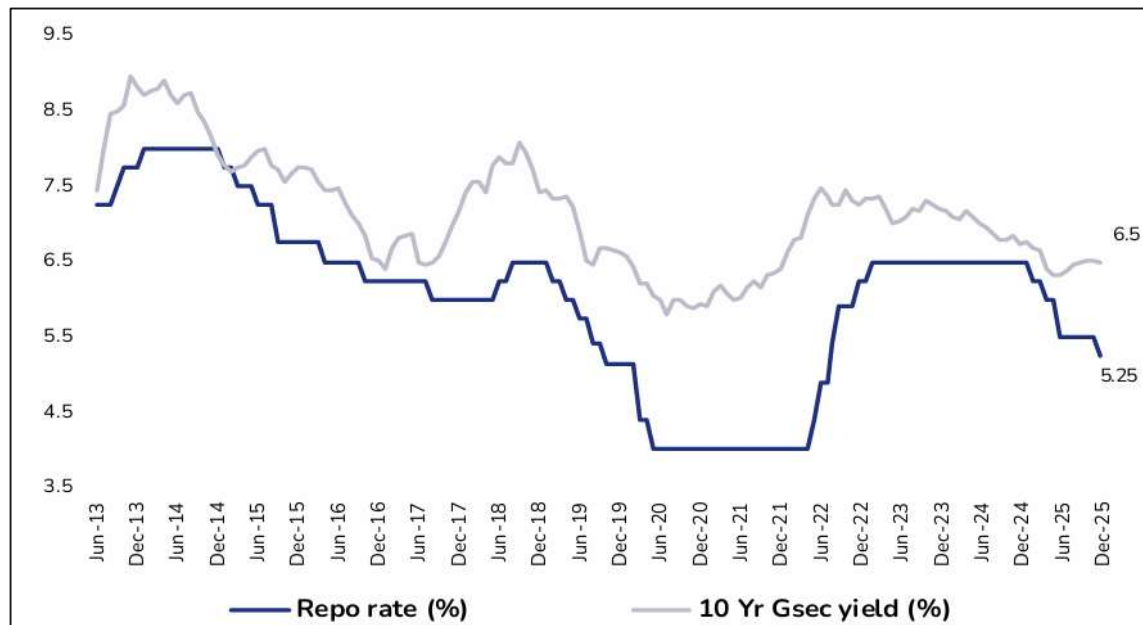


Headline inflation has eased sharply on food deflation, while core inflation remains elevated due to stickier services and non-food prices

Source: CMIE, MOSPI, JM Financial

G-sec-repo spread widens

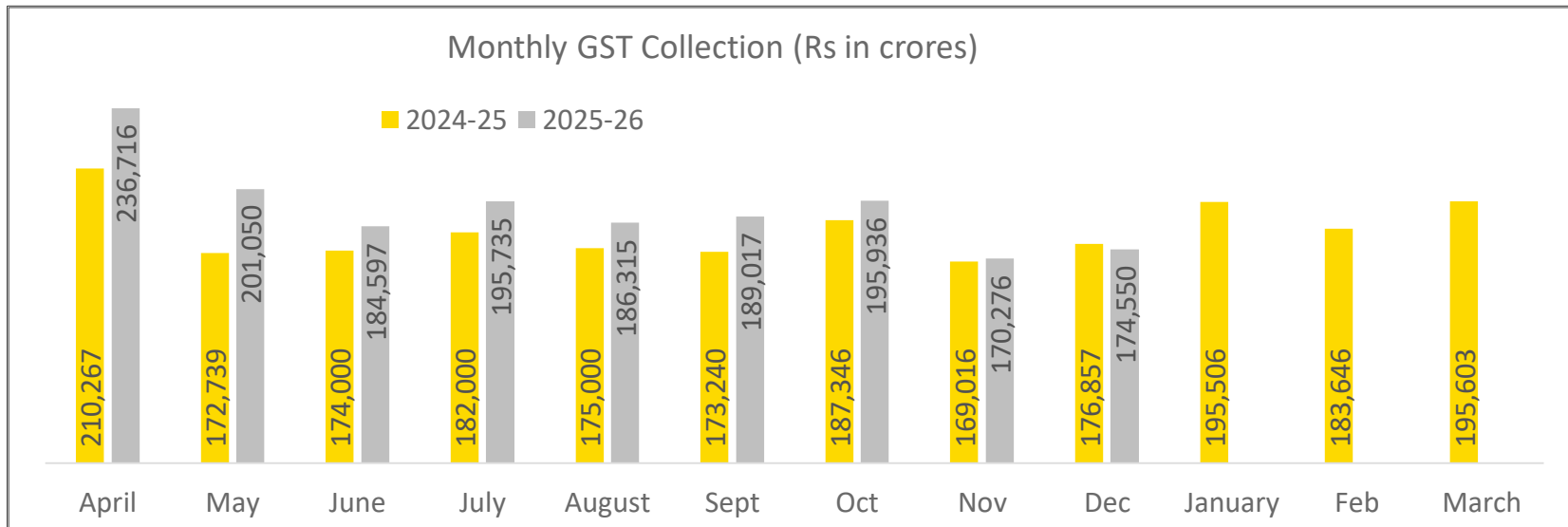
Spread between G-sec and Repo widens to 125bps



- MPC cut repo by 25 bps in Dec'25, widening the 10Y G-sec-repo spread to 125 bps, typical of an easing cycle
- 10Y yield eased 4 bps to 6.49%, aided by the rate cut and OMO announcement
- RBI reiterated OMOs and swaps are liquidity tools, not yield-control measures
- Sufficient liquidity is key for effective policy transmission to the economy

Source: CMIE, JM Financials

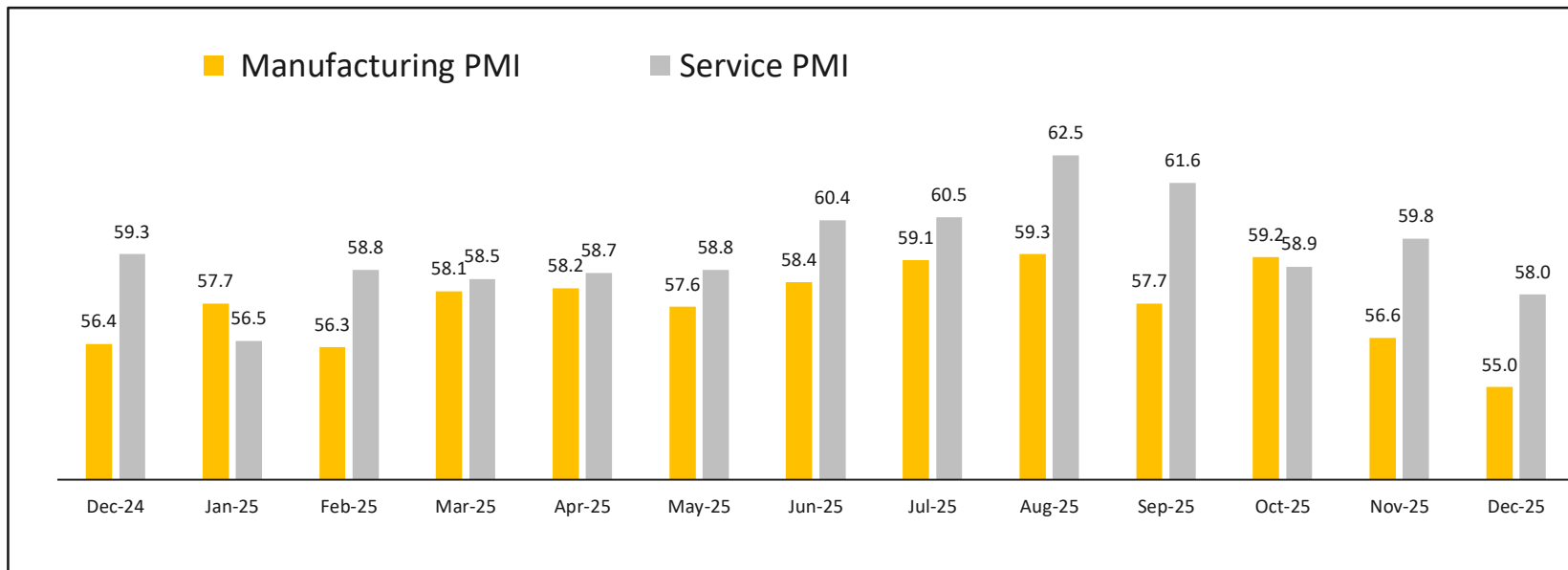
GST collections stay firm



GST collections up 6.1% YoY to ~Rs 1.74L cr in Dec-25, supported by strong imports despite domestic rate cuts

Source: Gst.gov.in

PMI : Service Strengthens



- ❑ India's Manufacturing PMI eased to 55.7 in Dec-25, softer new orders
- ❑ India's Services PMI eased to 59.1 in Dec-25, post-festive demand cooled

Source: Trading Economics
Data as on Dec-25

Outlook – Medium Term

Inflation

- India's CPI remains benign at 0.71% (Nov-25), staying below RBI's 2% lower tolerance band
- Global inflation is easing but uneven, with US headline CPI at 2.7%, keeping disinflation gradual



Liquidity

- System liquidity remains supportive, backed by RBI's ~₹3 tn infusion via OMOs and FX swaps
- Liquidity will remain policy-driven amid rupee volatility and pre-budget funding requirements



Interest rate

- RBI policy rate is likely to stay steady near term, with future moves data-dependent
- Global rates have turned supportive, with the Fed cutting rates and markets pricing further easing



Bond Markets

- India's 10Y G-sec (~6.59%) is likely to stay range-bound, driven by budget borrowing and inflation cues
- Global yields remain divergent, with US yields elevated, keeping cross-market flows uneven



Equity Markets

- Domestic equities may remain range-bound, supported by liquidity, RBI support and policy-led capex
- Global risk appetite remains fragile, amid slowing US growth, trade frictions & shifting rate expectations



Source: Trading Economics, Investing.com, Money control, Federal reserve

Key Risks

- Rupee near-record weakness (~INR 91/USD) raising imported inflation risk and weighing on FII flows
- Q3 FY26 earnings season could cause volatility as markets reassess demand and margins
- State elections adding near-term political uncertainty
- Global bond yields and policy divergence are pressuring EM flows and equity valuations
- Geopolitical or trade tensions affecting energy, exports, and investor sentiments

Disclaimer

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